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Pakistan

Oilseeds and Products Update

Oilseeds and Products Update 2017

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Report Highlights:

Pakistan continues to increase its purchasing of soybeans and imports are expected to reach a record 1.6 million metric tons (MMT) during 2016/17 and 2.0 MMT during 2017/18. Higher imports are a reflection of a tariff structure that favors soybeans over soymeal and growing demand from Pakistan's poultry sector. Imports of edible oils are proving to be slower than forecast as higher prices curb demand and increased imports and crushing of canola and soybeans offset some of the need for edible oil imports. Imports of both palm oil and soybean oil are now expected lower, but Pakistan remains one of the largest vegetable oil importers.

Soybean Imports Continue to Rise:

Continued demand for protein meal from Pakistan's poultry feed sector is expected to push soybean imports to a record 1.6 MMT during the current marketing year. The creation of a tariff structure a few years ago that favors imports of soybeans over soymeal continues to change the import mix. Exports of soybeans to Pakistan reached a record 835,000 metric tons during the first eight months of 2016/17; out of this 363,113 metric tons were sourced from USA. Currently, an additional 586,000 metric tons are booked for nearby delivery, with the expectation that a further 160,000 metric tons will be purchased for 2016/17 delivery. Imports in 2017/18 are expected to climb to 2.0 MMT. Importers continue to source small quantities of soybean meal when pricing is favorable and imports are expected to reach 360,000 metric tons during the current marketing year based on imports to date and estimated bookings.

Table 1: Oilseed Import Statistics:

(Figures in Metric Tons)

Product	MY 2015/16	MY 2016/17				MY 2017/18
Items	Actual Data	(First Eight Months)	(June – Sept Booking)	Further Expectations	MY Total	(Projections)
Rapeseed/Canola	1,100,000	834,981	188,950	126,069	1,150,000	1,200,000
Sunflower seed	50,000	101,981	-	50,000	151,981	150,000
Soybeans	1,132,000	854,605	586,000	159,395	1,600,000	2,000,000
Sub-Total	2,282,000	1,791,567	774,950	335,464	2,901,981	3,350,000
Total	2,282,000	2,901,981				3,350,000

Source: All Pakistan Solvent Extractor Association (APSEA) and FAS Islamabad

Table 2: Soybean Meal Import Statistics:

(Figures in Metric

Tons)

Product	MY 2015/16	MY 2016/17		MY 2017/18
Items	Actual Data	(First Eight Months)	(June – September Booking)	(Projections)
Soybean Meal	362,793	282,072	77,928	350,000
Total	362,793	360,000		350,000

Source: All Pakistan Solvent Extractor Association (APSEA) and FAS Islamabad

Rapeseed and Sunflower Seed Imports Outpacing Last Year's Level:

Purchases of rapeseed and sunflower seed through the first eight months of the 2016/17 marketing year are assessed at 834,981 metric tons and 101,981 metric tons respectively. Imports of rapeseed are up from the marketing year estimate of 800,000 tons and are projected at 1.15 MMT; 2017/18 imports are projected at 1.2 million tons. Sunflower seed imports are on pace to reach the forecast of 150,000 metric tons. Pricing plays an important role in the decision to import these seeds, but tastes and preferences also play a role given consumer preferences for the oils that are extracted from these high-oil-content seeds.

Edible Oil Import Shows Downward Trend:

Government of Pakistan import data for the first eight months of 2016/17 indicate that imports of palm oil and

soybean oil decreased from the corresponding period of the last year. This decrease is mainly due to higher prices of these oils in the international market. Palm oil dominates the imported vegetable oil market and is commonly blended with other oils and sold as cooking oil. A significant amount of oil available from oilseed crushing will augment the overall availability of edible oil in the country and palm oil imports are now expected 200,000 metric tons lower at a 3.1 MMT compared to 3.3 MMT mentioned in the annual report.

Table 3: Soybean Oil Import Statistics

(Figures in Metric Tons)

Months	MY 2012-13	MY 2013-14	My 2014-15	My 2015-16	My 2016-17
Oct	1,698	5,341	1,552	43,052	14,492
Nov	3,640	521	1,019	23,701	4,044
Dec	143	152	1,280	22,120	922
Jan	2,106	3,127	184	26,652	61
Feb	24	1,872	167	25,089	122
Mar	2,065	21,018	51	16,466	12,450
Apr	8,040	22,518	757	11,006	8,085
May	13,330	2,061	7,136	21,516	28,654
Sub Total	31,046	56,610	12,146	189,602	68,830
June	360	30,484	10,105	11,423	
July	9,868	6,025	11,141	19,570	
Aug	12,311	15,828	31,133	15,459	
Sept	2,181	11,317	31,240	20,936	
Total	55,766	120,264	95,765	256,990	

Source: Pakistan Bureau of Statistics

Table 4: Palm Oil Import Statistics

(Figures in Metric Tons)

Months	MY 2012-13	MY 2013-14	My 2014-15	My 2015-16	My 2016-17
Oct	106,087	192,258	213,467	283,740	204,972
Nov	182,048	208,051	212,248	212,491	224,912
Dec	188,295	152,900	214,094	187,913	242,219
Jan	222,256	210,709	162,916	211,624	237,227
Feb	247,602	169,017	188,103	237,795	226,052
Mar	159,850	165,341	196,993	365,734	255,491
Apr	187,151	186,156	173,743	214,633	217,555
May	160,509	157,618	211,668	257,672	261,326
Sub Total	1,453,798	1,442,050	1,573,232	1,971,602	1,869,754
June	154,016	213,093	278,197	199,104	
July	220,106	152,358	160,019	150,726	
Aug	178,638	198,131	256,208	204,712	
Sept	165,372	226,022	258,250	187,092	
Total	2,171,930	2,231,654	2,525,906	2,713,236	

Source: Pakistan Bureau of Statistics

Oilseed, Soybean Market Begin Year Pakistan	2015/2016		2016/2017		2017/2018	
	Oct 2015		Oct 2016		Oct 2017	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	2	2	2	2	2	2
Area Harvested	2	2	2	2	2	2
Beginning Stocks	38	38	38	40	38	40
Production	2	2	2	2	2	2
MY Imports	1250	1132	1350	1600	1620	2000
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	1290	1172	1390	1642	1660	2042
MY Exports	0	0	0	0	0	0
MY Exp. to EU	0	0	0	0	0	0
Crush	1250	1130	1350	1600	1600	2000
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	2	2	2	2	0	2
Total Dom. Cons.	1252	1132	1352	1602	1600	2002
Ending Stocks	38	40	38	40	60	40
Total Distribution	1290	1172	1390	1642	1660	2042
CY Imports	841	0	1300	0	1500	0
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	0	0	0	0	0	0
CY Exp. to U.S.	0	0	0	0	0	0
Yield	1	1	1	1	1	1

(1000 HA) ,(1000 MT) ,(MT/HA)

Meal, Soybean	2015/2016		2016/2017		2017/2018	
Market Begin Year	Oct 2015		Oct 2016		Oct 2017	
Pakistan	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1250	1130	1350	1600	1600	2000
Extr. Rate, 999.9999	0.784	0.7876	0.7852	0.7813	0.875	0.78
Beginning Stocks	278	278	69	150	124	150
Production	980	890	1060	1250	1400	1560
MY Imports	366	370	700	360	450	350
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	1624	1538	1829	1760	1974	2060
MY Exports	5	0	5	0	3	0
MY Exp. to EU	0	0	0	0	0	0
Industrial Dom. Cons.	0	0	0	0	0	0
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	1550	1388	1700	1610	1850	1900
Total Dom. Cons.	1550	1388	1700	1610	1850	1900
Ending Stocks	69	150	124	150	121	160
Total Distribution	1624	1538	1829	1760	1974	2060
(1000 MT) ,(PERCENT)						

Table 7: Production, Supply and Demand Data Statistics:

Oil, Soybean Market Begin Year Pakistan	2015/2016		2016/2017		2017/2018	
	Oct 2015		Oct 2016		Oct 2017	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	1250	1130	1350	1600	1600	2000
Extr. Rate, 999.9999	0.176	0.177	0.1778	0.1813	0.1625	0.18
Beginning Stocks	17	17	6	12	11	22
Production	220	200	240	290	260	360
MY Imports	184	260	200	100	250	150
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	421	477	446	402	521	532
MY Exports	0	0	0	0	0	0
MY Exp. to EU	0	0	0	0	0	0
Industrial Dom. Cons.	5	5	5	10	0	10
Food Use Dom. Cons.	410	460	430	370	500	522
Feed Waste Dom. Cons.	0	0	0	0	0	0
Total Dom. Cons.	415	465	435	380	500	532
Ending Stocks	6	12	11	22	21	0
Total Distribution	421	477	446	402	521	532

(1000 MT) ,(PERCENT)

Table 8: Production, Supply and Demand Data Statistics:

Oilseed, Rapeseed Market Begin Year Pakistan	2015/2016		2016/2017		2017/2018	
	Oct 2015		Oct 2016		Oct 2017	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	225	225	210	210	220	200
Area Harvested	225	225	210	210	200	200
Beginning Stocks	35	35	122	30	107	35
Production	215	215	200	200	190	190
MY Imports	1242	1100	1200	1150	1210	1200
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	1492	1350	1522	1380	1507	1425
MY Exports	0	0	0	0	0	0
MY Exp. to EU	0	0	0	0	0	0
Crush	1355	1280	1400	1330	1400	1370
Food Use Dom. Cons.	0	0	0	0	0	0
Feed Waste Dom. Cons.	15	40	15	15	15	15
Total Dom. Cons.	1370	1320	1415	1345	1415	1385
Ending Stocks	122	30	107	35	92	40
Total Distribution	1492	1350	1522	1380	1507	1425

(1000 HA) ,(1000 MT)

Table 9: Production, Supply and Demand Data Statistics:[illegible]**Table 10: Production, Supply and Demand Data Statistics:**[illegible]

Table 11: Production, Supply and Demand Data Statistics:

Oil, Palm Market Begin Year Pakistan	2015/2016		2016/2017		2017/2018	
	Oct 2015		Oct 2016		Oct 2017	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	0	0	0	0	0	0
Area Harvested	0	0	0	0	0	0
Trees	0	0	0	0	0	0
Beginning Stocks	382	382	287	287	292	292
Production	0	0	0	0	0	0
MY Imports	2720	2700	3000	3000	3100	3100
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	3102	3082	3287	3287	3392	3392
MY Exports	0	50	0	50	0	50
MY Exp. to EU	0	0	0	0	0	0
Industrial Dom. Cons.	70	70	70	70	0	70
Food Use Dom. Cons.	2670	2600	2850	2800	2940	2950
Feed Waste Dom. Cons.	75	75	75	75	90	75
Total Dom. Cons.	2815	2745	2995	2945	3030	3095
Ending Stocks	287	287	292	292	362	247
Total Distribution	3102	3082	3287	3287	3392	3392
CY Imports	2900	2900	3100	3100	3200	0
CY Imp. from U.S.	0	0	0	0	0	0
CY Exports	0	0	0	0	0	0
CY Exp. to U.S.	0	0	0	0	0	0
Yield	0	0	0	0	0	0

(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)